SuperAnalyst

VALUATION · LENSES · EVIDENCE

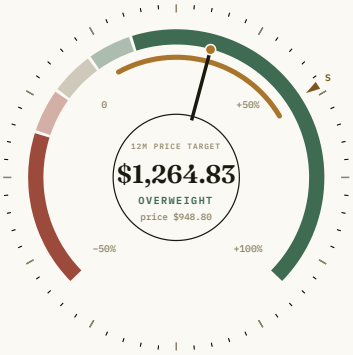
INDEPENDENT VALUATION · TECHNOLOGY · SEMICONDUCTORS

Micron Technology, Inc. MU

OVERWEIGHT | STANDARD (FORWARD MULTIPLES + DCF) | CONFIDENCE · MEDIUM | 12-MONTH HORIZON | 13 OCT 2026

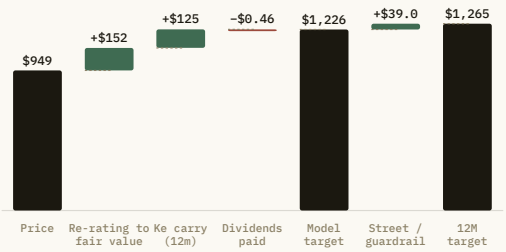
Price
$948.80
Yahoo snapshot as of 2026-07-09

12-MONTH PRICE TARGET — OVERWEIGHT



BEAR	TARGET	BULL
$1,034.09	$1,264.83	$1,497.99

FROM PRICE TO TARGET — +33%

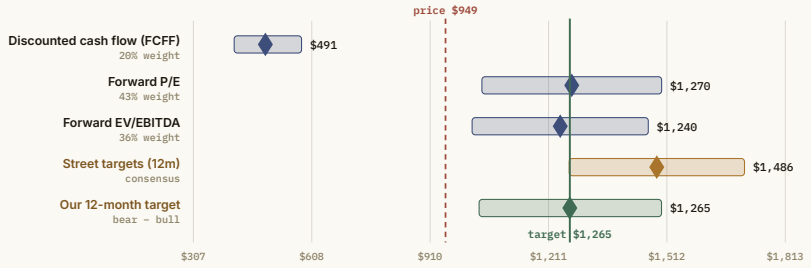


Fair value sits **$152.16 above** the price. Carrying it forward at the 11.4% cost of equity adds **$125.30**, dividends take back $0.46; the Street anchor / guardrail moves it $39.03 up.

KEY FIGURES — USD

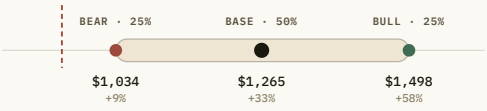
MARKET CAP $1.07trn EV $1.08trn	P/E · NTM 8.5x sector ref 21.0x
EV/EBITDA · NTM 6.2x sector ref 15.0x	FCF YIELD · LTM 0.2% OCF − capex
ROIC 14.7% NOPAT / invested capital	NET DEBT / EBITDA 0.3x x EBITDA
REVENUE GROWTH · FY+1 246.7% FY2026E consensus	EBIT MARGIN 26.2% latest fiscal year

VALUE PER SHARE BY LENS — fair value today · range



3 lenses blend to a fair value of **$1,100.96** (dispersion 36%). Street mean $1,486.00.

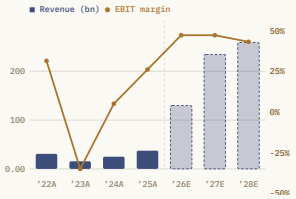
SCENARIOS · 12 MONTHS — E[target] $1,265.44 (+33%)



CASE	PROB.	TARGET	RETURN	DCF
Bear	25%	**$1,034.09**	+9%	$411.26
Base	50%	**$1,264.83**	+33%	$490.59
Bull	25%	**$1,497.99**	+58%	$582.47

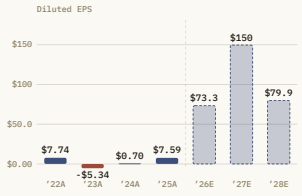
Weighting bear / base / bull 25 / 50 / 25 gives **$1,265.44** (+33% incl. dividends). Bear and bull come from the lens ranges (DCF bear/bull cases in the last column).

REVENUE & EBIT MARGIN — $bn



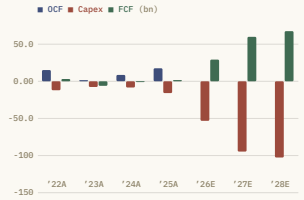
Revenue compounds **+91%** a year to FY2028E on the base case; EBIT margin 26% → 43%.

EPS · ACTUAL & EST. — USD/share



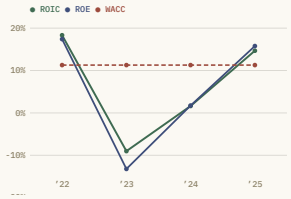
Consensus EPS $73.32 → $149.64 for FY2026–2027; NTM P/E **8.5x**.

CASH GENERATION — $bn



FCF +1.7bn last year, 0.2x net income; capex intensity 1.9x D&A.

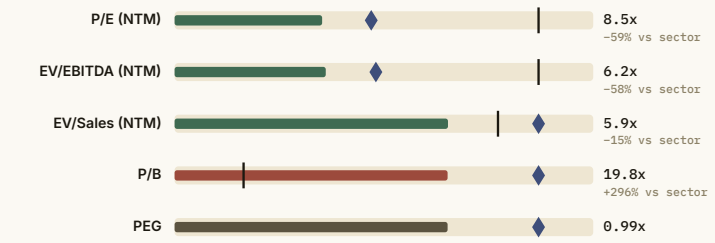
ROIC VS WACC — + ROE



ROIC **15%** vs WACC 11.3%: value-creating growth.

VALUATION VS THE SECTOR

Semiconductors reference



company today | sector reference | at our target

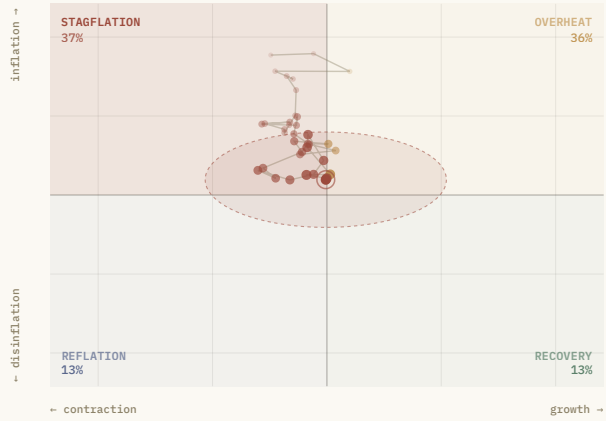
MULTIPLE	TODAY	SECTOR	PREMIUM	AT TARGET
P/E (NTM)	8.5x	21.0x	-59%	11.3x
EV/EBITDA (NTM)	6.2x	15.0x	-58%	8.3x
EV/Sales (NTM)	5.9x	7.0x	-15%	7.9x
P/B	19.8x	5.0x	+296%	26.4x
FCF yield (LTM)	0.2%	—	—	0.1%
Dividend yield	0.0%	—	—	0.0%
PEG	0.99x	—	—	1.32x

8.5x NTM earnings vs a 21.0x sector reference (-59%); 6.2x EV/EBITDA vs 15.0x. At our target the P/E would be 11.3x.

RELOJ DE INVERSIÓN

2026-10 · snapshot

ESTANFLACIÓN Stagflation · weak signal



Estanflación (Stagflation), weak signal: 37% vs 36% for Sobrecalentamiento (Overheat). Semiconductors has historically lagged the US market by **3.4 pp/yr** in this phase; probability-weighted tilt **-0.9 pp/yr**. The Reloj's playbook holds 22.2% in Semiconductors in this phase.

INVESTMENT VIEW

what the numbers say

- **Valuation.** Fair value $1,100.96 vs price $948.80; 12-month target **$1,264.83** (+33%, +33% with dividends).
- **Fundamentals.** FY+1 revenue +247%; ROIC 15% vs WACC 11.3%; EBIT margin 26%.
- **Earnings quality.** Forward EPS is 14.7x trailing: earnings are in a steep inflection and carry high forecast risk.
- **Cycle.** Reloj reads **Stagflation** (weak signal); Semiconductors has a probability-weighted tilt of **-0.9 pp/yr** vs the US market.
- **Priced in.** The market discounts year-1 growth of 258% vs our 247%: more than we model.
- **What would change our mind.** A sustained miss on FY+1 revenue or margin; a re-rating of the sector multiple; a move in the cost of equity (11.4% today).

KEY RISKS

ranked

01 Earnings are cyclically elevated: forward EPS is 20.0x the through-cycle average. A normalisation of pricing, volumes or margins would reset the earnings base the multiples are applied to.

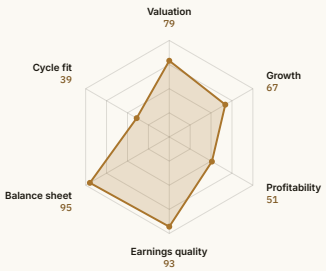
02 Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.

03 Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.

04 Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

FACTOR SCORECARD

0–100



Valuation	79	Growth	67
Profitability	51	Earnings quality	93
Balance sheet	95	Cycle fit	39

Heuristic scales (thresholds in the appendix); the underlying metric is shown in the financial section.

INVESTMENT THESIS

Why this number

We rate **Micron Technology, Inc. (MU) OVERWEIGHT** with a 12-month price target of **$1,264.83** — a +33% move from $948.80 and a +33% total return including the dividend. The shares look undervalued on 3 lenses: Discounted cash flow (FCFF), Forward P/E, Forward EV/EBITDA. Their weighted fair value today is **$1,100.96**, rolled forward at the 11.4% cost of equity.

Micron Technology, Inc. generated $37.38bn of revenue at a 26% EBIT margin in the latest fiscal year, having compounded the top line at 6.7% over the historical window. Market capitalisation stands at $1.07trn with $4.97bn of net debt.

Consensus EPS of $73.32 and $149.64 gives an NTM figure of $111.48, i.e. 8.5x at today's price. Because forward earnings are 20.0x what the business has earned through the cycle, we scale target multiples by 0.60 — the market pays less for peak earnings, and so do we.

For context, the Street's mean 12-month target is $1,486.00 (+57%). Our model-only target of $1,225.80 sits 18% below it; the published target gives the consensus a 15% weight, a deliberate hedge against model error that we disclose rather than hide.

A reverse DCF shows the market is discounting year-one revenue growth of 257.7% against our 246.7% base — the price already discounts more than we model.

Priced like the sell-side prices it: a target multiple on forward earnings and EBITDA (peer-anchored, adjusted for growth and earnings durability), cross-checked against a 10-year FCFF DCF whose growth decays and whose margins mean-revert.

KEY DATA

Market cap	$1.07trn
Enterprise value	$1.08trn
Net debt	$4.97bn
Net debt / EBITDA	0.3x
EV / EBITDA (LTM)	58.2x
P/E (LTM)	125.0x
FCF yield (LTM)	0.0%
Dividend yield	0.0%
Beta	2.14
Diluted shares	1,129mn

THE VERDICT

How the 12-month target is built

Each lens answers *what is a share worth?* independently. They are weighted by what fits the business, filtered by plausibility guardrails, rolled forward at the cost of equity and — where it exists — lightly anchored to the Street.

RELATIVE · MULTIPLES	80% OF TARGET
Forward P/E $1,041.12 – $1,498.20	$1,269.66 43%
Forward EV/EBITDA $1,016.28 – $1,464.39	$1,240.33 36%

INTRINSIC · CASH FLOWS	20% OF TARGET
Discounted cash flow (FCFF) DOWN-WEIGHTED $411.26 – $582.47	$490.59 20%

FAIR VALUE TODAY

$1,100.96

PUBLISHED 12-MONTH TARGET

$1,264.83 +33%

The arithmetic. $1,100.96 × (1 + 11.38%) − $0.46 dividends = model target **$1,225.80**; Street mean $1,486.00 at 15% weight → published **$1,264.83**.

Confidence: Medium

- 3 independent lenses agree on a valuation
- lens dispersion is moderate (CV 36%)
- model target is within 25% of the Street
- 2 data-quality / earnings-quality flag(s)

Guardrails & disclosures

Discounted cash flow (FCFF) sits 0.4x the lens median and was down-weighted by 60%.

Target anchored 15% to the Street consensus ($1,486.00); model-only target $1,225.80.

Forward EPS is 14.7x trailing: earnings are in a steep inflection and carry high forecast risk.

Forward EPS is 20.0x the through-cycle average; target multiples are scaled by 0.60 for earnings durability.

INSIDE THE LENSES

Every input, so any number can be challenged

Relative lenses apply a target multiple to forward numbers; the DCF values the cash flows; sector lenses use the model that fits the business.

Discounted cash flow (FCFF) INTRINSIC ADJUSTED

$490.59

$411.26 – $582.47 · down-weighted: 0.4x the median of the other lenses

WACC	11.28%
Terminal growth	2.50%
PV of explicit FCFF	$335.60bn
PV of terminal value	$223.43bn (40% of EV)
Enterprise value	$559.04bn
– Net debt & minorities	$4.97bn
Equity value	$554.07bn
Value per share	$490.59

10-year FCFF DCF: consensus for the near years, geometric growth decay, mean-reverting margins, terminal reinvestment tied to growth/ROIC. Range = bear/bull scenarios.

Forward P/E RELATIVE 43% WEIGHT

$1,269.66

$1,041.12 – $1,498.20

Consensus EPS	$73.32 (FY2026) / $149.64 (FY2027)
NTM EPS (blend of the two years)	$111.48
Anchor P/E	21.0x — Semiconductors reference 21.0x (no usable peer set)
Growth adjustment	×0.90 (8.6% durable growth vs 12.0% sector)
Earnings-durability factor	×0.60 (forward EPS far above through-cycle)
Leverage adjustment	×1.00
Target P/E	11.4x
Value per share	$1,269.66

Target multiple x NTM EPS. The multiple is anchored on peers/sector, then scaled for durable growth, leverage and how far forward earnings sit above what the business has historically earned.

Forward EV/EBITDA RELATIVE 36% WEIGHT

$1,240.33

$1,016.28 – $1,464.39

NTM EBITDA (from consensus earnings)	$172.81bn
Anchor EV/EBITDA	15.0x — Semiconductors reference 15.0x (no usable peer set)
Growth adjustment	×0.90
Earnings-durability factor	×0.60
Target EV/EBITDA	8.1x
Enterprise value	$1,405.80bn
– Net debt	$4.97bn
Value per share	$1,240.33

Capital-structure-neutral cross-check to forward P/E: it values the operating business and then bridges to equity through net debt.

FINANCIAL ANALYSIS

Statements, returns and balance-sheet quality

Reported fiscal years, with the DCF base case and consensus as shaded forecast columns. Forecast free cash flow is unlevered (FCFF).

$BN	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
INCOME STATEMENT							
Revenue	**30.76**	**15.54**	**25.11**	**37.38**	**129.6**	**234.2**	**258.6**
growth	–	-49.5%	61.6%	48.9%	246.7%	80.8%	10.4%
Gross profit	13.90	(1.42)	5.61	14.87	–	–	–
gross margin	45.2%	-9.1%	22.4%	39.8%	–	–	–
EBITDA	16.88	2.49	9.58	18.48	102.3	184.9	193.7
EBITDA margin	54.9%	16.0%	38.2%	49.4%	78.9%	78.9%	74.9%
EBIT	**9.71**	**(5.41)**	**1.30**	**9.81**	**61.36**	**110.9**	**112.0**
EBIT margin	31.6%	-34.8%	5.2%	26.2%	47.3%	47.3%	43.3%
Net income	8.69	(5.83)	0.78	8.54	82.81	169.0	90.25
net margin	28.2%	-37.5%	3.1%	22.8%	63.9%	72.1%	34.9%
Diluted EPS	**$7.74**	**($5.34)**	**$0.70**	**$7.59**	**$73.32**	**$149.64**	**$79.91**
BALANCE SHEET							
Cash & short-term investments	9.33	9.59	8.11	10.31	–	–	–
Total debt	7.52	13.93	14.01	15.28	–	–	–
Net debt / (net cash)	**(1.81)**	**4.34**	**5.90**	**4.97**	**–**	**–**	**–**
Net debt / EBITDA	net cash	1.7x	0.6x	0.3x	–	–	–
Total assets	66.28	64.25	69.42	82.80	–	–	–
Shareholders' equity	49.91	44.12	45.13	54.16	–	–	–
Book value / share	$44.48	$40.37	$40.37	$48.15	–	–	–
CASH FLOW							
Operating cash flow	15.18	1.56	8.51	17.52	–	–	–
Capex	(12.07)	(7.68)	(8.39)	(15.86)	(53.28)	(94.64)	(102.7)
Free cash flow	**3.11**	**(6.12)**	**0.12**	**1.67**	**29.19**	**59.88**	**67.53**
FCF margin	10.1%	-39.4%	0.5%	4.5%	22.5%	25.6%	26.1%
FCF / net income	0.4x	–	0.2x	0.2x	–	–	–
Capex / D&A	1.7x	1.0x	1.1x	1.9x	1.3x	1.3x	1.3x

Forecast columns: revenue, EBIT and capex are the DCF base case; net income and EPS use consensus where it covers the year; free cash flow in forecast years is unlevered (FCFF). Dashes mean the provider does not report the line.

RETURNS ON CAPITAL — by fiscal year

	FY2022	FY2023	FY2024	FY2025
ROE	17.4%	-13.2%	1.7%	15.8%
ROA	13.1%	-9.1%	1.1%	10.3%
ROIC	18.3%	-9.0%	1.6%	14.7%
Asset turnover	0.46x	0.24x	0.36x	0.45x
Equity multiplier	1.33x	1.46x	1.54x	1.53x

DUPONT · FY2025

22.8% NET MARGIN × 0.45x ASSET TURNOVER × 1.53x EQUITY MULTIPLIER = 15.8% ROE

PIOTROSKI F-SCORE — financial strength · 0–9

7 / 9 tests available

- Positive return on assets
- Positive operating cash flow
- Return on assets improving
- Cash flow exceeds net income (low accruals)
- Leverage falling
- Current ratio improving
- No dilution (share count not up)
- Gross margin improving
- Asset turnover improving

DISTRESS & EARNINGS QUALITY — Altman · accruals · cash cycle

24.4 Altman Z · safe zone

SLOAN ACCRUALS -11.8%	OCF / NET INCOME 2.05x
DSO 70 d	DIO 136 d
DPO 51 d	CCC 155 d

Sloan accruals below ~0 mean earnings are backed by cash; strongly positive readings flag aggressive accounting.

MULTIPLES AT THE CURRENT PRICE, BY FISCAL YEAR

$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	$25.11bn	$37.38bn	$129.59bn	$234.24bn	$258.62bn	$279.15bn
growth	+61.6%	+48.9%	+246.7%	+80.8%	+10.4%	+7.9%
EBITDA	$9.58bn	$18.48bn	$102.30bn	$184.91bn	$193.74bn	$197.87bn
EBIT margin	5.2%	26.2%	47.3%	47.3%	43.3%	39.3%
EPS	$0.70	$7.59	$43.61	$79.11	$79.91	$78.22
FCFF/share	($0.83)	$0.44	$25.85	$53.02	$59.79	$58.68
EV/EBITDA	112.4x	58.2x	10.5x	5.8x	5.6x	5.4x
P/E	1363.4x	125.0x	21.8x	12.0x	11.9x	12.1x
FCF yield	-0.1%	0.0%	2.7%	5.6%	6.3%	6.2%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1−t).

EARNINGS QUALITY

Are the earnings the market is paying for durable?

Trailing EPS	$7.59
Consensus EPS FY2026	$73.32
Consensus EPS FY2027	$149.64
NTM EPS used	**$111.48**
Through-cycle (historical average) EPS	$2.67
Forward ÷ through-cycle	20.0x
Durable EPS growth used	8.6%
Earnings-durability factor on multiples	×0.60
Basis	consensus

Cyclical or in an earnings inflection. revenue fell 49% in a single year; EBIT margin has swung 66pts peak-to-trough.

Growth source: historical revenue CAGR (capped at 15%); capped at sector growth (cyclical). Multiples price *durable* growth, so a one-year recovery step is never extrapolated, and when forward EPS is far above what the business has historically earned the target multiple is scaled down — the market pays less for peak earnings.

DCF CROSS-CHECK

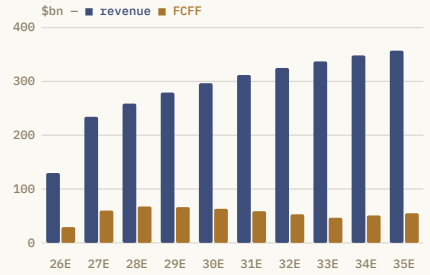
Drivers, cash-flow build and sensitivity

DRIVER	PATH	WHY
Revenue growth	246.7% → 2.5% over 10y	Years 1–2 follow consensus revenue for FY2026 and FY2027. Growth then decays geometrically from 14.0% to the 2.5% terminal rate as revenue compounds toward $357bn — competitive entry and the law of large numbers compress incremental growth; no single year's step is ever extrapolated.
EBIT margin	26.2% → 47.3% → 23.2% (compresses)	Reported margin is 26.2%; year-1 margin is 47.3% (consensus implies 79%; capped at 47%, 1.5x the highest margin ever reported). This is a cyclical business, so we revert 60% of the way toward the through-cycle average of 7.1%, landing at 23.2% — crediting some but not all of current profitability as durable.
Reinvestment (capex)	41.1% → 34.8% of sales	Starts at the historical capex intensity (41.1%) against D&A of 31.6%, converging to 1.10x D&A by the terminal year — a steady state that funds growth without permanent over- or under-investment.
Working capital	8.8% of Δrevenue	Incremental working capital absorbs 8.8% of each year's revenue increase (historical median) — a cash drag as the business scales.
Tax rate	19.1%	Normalised to the trailing effective rate of 19.1%, applied to EBIT to derive NOPAT.
Terminal growth	2.5%	At or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Terminal reinvestment is g/ROIC.

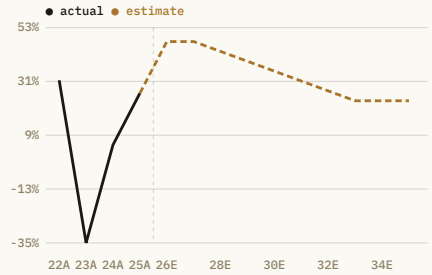
FREE-CASH-FLOW BUILD · $BN

	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Revenue	**129.6**	**234.2**	**258.6**	**279.1**	**296.6**	**311.6**	**324.9**	**337.0**	**348.2**	**356.9**
growth	246.7%	80.8%	10.4%	7.9%	6.2%	5.1%	4.3%	3.7%	3.3%	2.5%
EBIT	61.36	110.9	112.0	109.7	104.6	97.32	88.38	78.09	80.69	82.71
EBIT margin	47.3%	47.3%	43.3%	39.3%	35.3%	31.2%	27.2%	23.2%	23.2%	23.2%
NOPAT	49.64	89.73	90.64	88.73	84.60	78.73	71.50	63.18	65.28	66.92
+ D&A	40.94	74.00	81.71	88.19	93.69	98.45	102.6	106.5	110.0	112.8
− Capex	(53.28)	(94.64)	(102.7)	(108.8)	(113.5)	(117.1)	(119.8)	(121.9)	(123.5)	(124.0)
− Δ working capital	(8.12)	(9.21)	(2.15)	(1.81)	(1.53)	(1.32)	(1.17)	(1.06)	(0.99)	(0.77)
Unlevered FCF	**29.19**	**59.88**	**67.53**	**66.27**	**63.22**	**58.76**	**53.18**	**46.71**	**50.83**	**54.87**
Discount factor	0.948	0.852	0.766	0.688	0.618	0.556	0.499	0.449	0.403	0.362
Present value	27.67	51.01	51.70	45.59	39.09	32.65	26.55	20.96	20.50	19.88

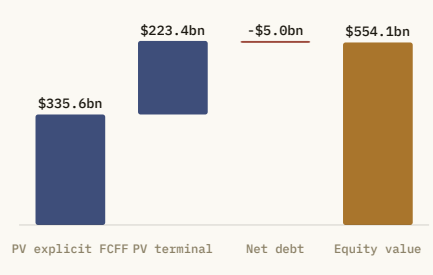
REVENUE & FCFF



EBIT MARGIN PATH



EV → EQUITY BRIDGE



DCF VALUE PER SHARE · WACC × TERMINAL GROWTH (VS. PRICE)

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
9.8%	$572	$577	$582	$588	$594
10.5%	$526	$529	$532	$535	$539
11.3%	$487	$489	**$491**	$492	$494
12.0%	$454	$455	$456	$457	$458
12.8%	$427	$427	$428	$429	$430

Shaded against the current price: green = above, terracotta = below. Outlined cell = base case.

WACC 11.28%	TERMINAL GROWTH 2.50%	TERMINAL VALUE / EV 40%	ENTERPRISE VALUE $559.04bn
EQUITY VALUE $554.07bn	IMPLIED EXIT EV/EBITDA 3.2x	TERMINAL ROIC 12%	DCF VALUE / SHARE $490.59

The business earns **11.8%** on capital versus a **11.3%** cost of capital — a positive spread of **57bps**, so growth creates value. Self-funding growth of 2.5% (reinvestment 21% × ROIC) frames how much of the terminal growth is organically financed rather than assumed.

Terminal EV/EBITDA vs today	3.2x implied vs 59.3x current	OK
Terminal ROIC vs WACC	11.8% vs 11.3%	OK

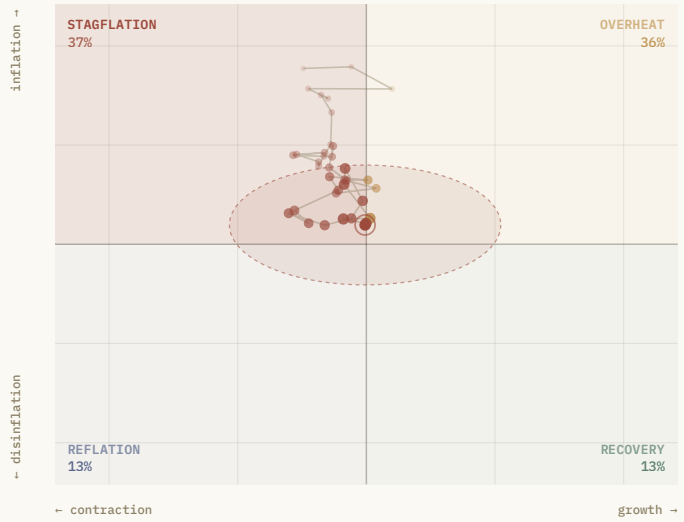
RELOJ DE INVERSIÓN

Where the cycle is, and what it has paid Semiconductors

Live reading of the Reloj de inversión project: 28 FRED series → growth and inflation axes (robust z-scores, PCA) → phase probabilities. Sector evidence is historical excess return vs the US market per phase, with Newey-West t-statistics and false-discovery control.

GROWTH × INFLATION PLANE

last 36 months



PHASE PROBABILITIES

weak signal · margin 1.1 pts

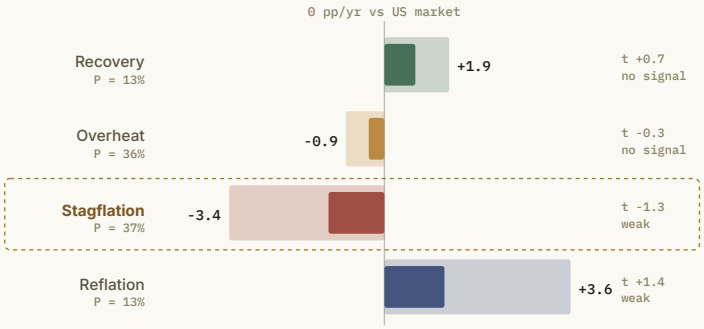
Recovery	13%
Overheat	36%
Stagflation	**37%**
Reflation	13%

The Reloj's call is **Estanflación** with **weak** conviction: only 1.1 points separate it from Sobrecalentamiento (Overheat). Growth sits at -0.01σ and inflation at +0.19σ of their ten-year norms; the 12-month recession probability is 8%.

GROWTH Z	INFLATION Z
-0.01σ	+0.19σ
RECESSION 12M	**GROWTH Δ3M**
8%	-0.04σ
INFLATION Δ3M	**DATA**
-0.07σ	snapshot

SEMICONDUCTORS: EXCESS RETURN BY PHASE

pp/yr vs US market · shrunk (solid) vs raw (pale)



In Stagflation Semiconductors has returned **1.8%** a year on average (**-3.4 pp/yr** vs the market, t = -1.3, reliability *weak*). Weighted by today's probabilities the sector's expected edge is **-0.9 pp/yr**. Across all sector×phase cells the Reloj tests, 25 of 192 survive false-discovery control.

HISTORICAL EVIDENCE FOR SEMICONDUCTORS

since 1970

PHASE	ANN.	VS MKT	T	HIT	MO.	SIGNAL
Recovery	15.2%	+1.9	+0.7	57%	187	NO SIGNAL
Overheat	8.9%	-0.9	-0.3	48%	120	NO SIGNAL
Stagflation ●	1.8%	-3.4	-1.3	56%	226	WEAK
Reflation	22.6%	+3.6	+1.4	60%	148	WEAK

"Ann." is the sector's average annual return while the cycle was in that phase; "vs mkt" the excess over the US market (shrunk estimate); t-statistics are Newey-West. A weak or "no signal" reliability means the data cannot distinguish the sector's phase return from chance.

THE RELOJ'S PLAYBOOK NOW

Estanflación · Inverse volatility

ALLOCATION	WEIGHT
Industrials	26.0%
Semiconductors THIS COMPANY'S SECTOR	**22.2%**
Utilities	31.8%
Gold miners	6.0%
Gold bullion	14.0%

The current playbook allocates **22.2%** to Semiconductors. Valuation upside and the cycle point the same way.

HOW TO USE THE ETF

09-Oct-2026

ETFS	WEIGHT IN SECTOR ETF
SOXX · SMH	4.24%
RANK IN ETF	
#6	

Owning the sector through its ETF carries this company at the weight above; owning the stock instead adds single-name risk the Reloj's sector evidence does not measure.

Source: Reloj de inversión · snapshot as of 2026-10. This is an analytical tool, not investment advice; the sector tilt is context for the valuation, not an input to the price target.

FACTORS

What moves this stock

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	**Interest rates / discount rate**	MEDIUM	75bps of WACC ≈ $38.03/sh (8%); TV = 40% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	**Economic cycle / demand**	HIGH	Revenue growth volatility σ = 49.6% over 3y	Historical top-line dispersion is the cleanest read on cyclicality: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	**Inflation / input costs**	MEDIUM	−100bps EBIT margin ≈ −$22.65/sh; margin σ = 26.1%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	**Credit & refinancing**	LOW	Net debt/EBITDA = 0.3x; EBIT/interest = 20.6x	Leverage converts operating shortfalls into equity stress: the higher the stack, the more a slowdown or a repricing of debt costs flows straight to the equity holder.
Micro	**Competitive erosion**	HIGH	ROIC−WACC spread = 57bps	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.
Micro	**Execution vs expectations**	HIGH	Implied y1 growth 257.7% vs base 246.7%	Market expects MORE than our base — priced for execution. The equity reprices on the gap between delivery and what the tape already discounts, not on absolute results.
Micro	**Capital intensity**	MEDIUM	Capex/D&A = 1.30x; capex = 41.1% of sales	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates true capital needs and cash conversion runs ahead of earnings.
Micro	**Pricing power / margin stability**	HIGH	EBIT margin σ = 26.1% (range -35%–32%)	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

CATALYSTS

What each lever is worth

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$38.03/share (8%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$1.66/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$22.65/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 246.7% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

RISKS

Key risks

- Earnings are cyclically elevated: forward EPS is 20.0x the through-cycle average. A normalisation of pricing, volumes or margins would reset the earnings base the multiples are applied to.
- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.
- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

APPENDIX

Method and definitions

01

Lenses and weights

02

Guardrails

03

12-month target

The target triangulates relative lenses (target multiples on consensus forward numbers, anchored on peers/sector references and adjusted for durable growth, leverage and earnings durability), a 10-year DCF (consensus for the near years, geometric growth decay, mean-reverting margins) and sector models, weighted by company profile.

A lens outside 0.2×–5× the price is excluded; lenses > 2.2× away from the median of the others are down-weighted by 60%; the published target is limited to 0.4×–2.5× the price; fewer than two usable lenses, or a result forced by a guardrail, is published NOT RATED.

Fair value × (1 + cost of equity) − dividends; bear/bull from the lens ranges; Street consensus anchored at up to 30% (scaled by analyst count) and always shown separately.

04

Scorecard scales

Valuation: expected return −30%…+50% → 0…100. Growth: durable EPS growth 0…25% and FY+1 revenue −5…+30%. Profitability: ROIC−WACC −5…+25 pts and EBIT margin 0…35%. Quality: Piotroski share of tests passed, OCF/NI 0.5…1.2, accruals. Balance sheet: net debt/EBITDA, interest cover, Altman zone. Cycle fit: Reloj tilt −4…+4 pp/yr.

05

Piotroski · Altman · Sloan

Piotroski F: nine binary tests of profitability, leverage/liquidity and efficiency (tests that cannot be computed from the available statement lines are excluded, not failed). Altman Z (original industrial form): >2.99 safe, 1.81–2.99 grey, <1.81 distress. Sloan accruals: (net income − OCF) / average assets.

06

Reloj de inversión

Phase probabilities and sector evidence come from the linked project's published data (see source above). Tilt = Σ phase probability × shrunk excess return of the sector in that phase. It describes historical behaviour and is not an input to the price target.

Disclaimer. Generated by an automated, sector-aware valuation engine from public data (Yahoo snapshot as of 2026-07-09). MU was classified as **Standard (forward multiples + DCF)**. Forward numbers come from analyst consensus where available and from reported figures otherwise; they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.
